Extra exercises of Lecture 13

EX 1

Choose the correct answer below. The weak form of the efficient market hypothesis implies that …

a) fundamentals analysis is ineffective
b) current prices fully reflect all information contained in past prices
c) both fundamentals analysis and technical analysis are ineffective
d) none of the others

EX 2

Suppose that the profits of a company decrease by 9% this year, and this is the largest decrease in the last 25 years of the company. Previously published forecasts predicted profits to decrease by 9.4%. If markets are efficient, the stock price of the company will…

a) increase
b) fall
c) stay the same
d) none of the others

EX 3

Cheese maker Mr-X has produced some a new soft cheese with very poor ingredients, but this information is initially only known to the management of the firm. One day, a client dies after eating the new soft cheese maker Mr-X, but the cause of the death is initially unknown. Few weeks after the death, the news reveal that investigators found the cheese to be the cause of the death and that it its ingredients are of very poor quality. If financial markets are semi-strong efficient, when would you expect the price of Mr-X shares to fall?

a) on the day of the client death, but not on the day of the news
b) on the day of the client death, and then again on the day of the news
c) on the day of the news and even more in the following weeks
d) on the day of the news, but not on the day of the client death

EX 4

Assume the stock of firm XYZ exhibits for a long period a very high variance of its price every Friday and a very low variance every Monday. This pattern…

a) is coherent with the efficient market hypothesis
b) is caused by rational arbitrageurs
c) is a common feature of many small firm stocks
d) is not coherent with the efficient market hypothesis